

Organization and accountability

The textual organization chart is: Shareholders appoint the Board; the Board appoints the Chief Executive Officer; the Chief Executive Officer leads Finance, Operations, Commercial, People, Technology, and Sustainability. Compliance and Risk provide independent oversight. The organization chart and role instruments are available to all levels on the company intranet.

The Audit and Control Committee is a Board committee, so Internal Audit reports directly to the Board through that committee. Internal Audit is segregated from all other company functions; its administrative link to the Chief Executive Officer does not include direction of audit work. This protects access and unrestricted escalation. The Board approves the Internal Audit mandate, and the mandate is communicated across the organization and published on the company intranet.

Role profiles state decision rights and accountability. The People function supports other functions in defining roles and responsibilities. People and Compliance review reporting-line changes before executive approval.

Three lines model

The group's three lines model assigns control ownership to operational management as the first line. Business managers perform and evidence the controls embedded in their processes; employees perform first-level controls within operational activities. Managers perform managerial control over activities within their responsibility. Guiding control-architecture principles approved by the Board define the first, second, and third lines.

Risk, Compliance, and specialist control functions form the second line. They set policies, advise control owners, monitor adherence, and challenge significant exceptions without taking over first-line accountability. Job descriptions define control responsibilities, and second- and third-line roles are segregated. Regulatory instruments ensure independence and govern how control activities are performed. Second-line control functions are hierarchically segregated from business functions.

Internal Audit is the third line. It independently assesses governance, risk management, and internal controls, then reports findings and agreed actions to the Audit and Control Committee.

Delegations and segregation

The delegation of authority schedule defines monetary and non-monetary approval limits for contracts, purchases, payments, hiring, and capital commitments. Formal rules and procedures state who may act for the group and under which circumstances. Delegations are aligned with formally established roles and responsibilities. Higher-value decisions require added approval.

Process owners identify incompatible activities and maintain segregation of duties between request, approval, receipt, accounting, and payment. Where staffing makes full separation impractical, a documented independent review is required.

Compliance reviews proposed delegations for conflicts and clarity. Finance performs periodic sample checks and escalates unauthorized commitments or missing approvals to the responsible executive.

Control design and assurance

Each material process has a control register describing the risk, control objective, control owner, frequency, expected evidence, and escalation path. Control design is formalized in policies, guidelines, and procedures. Specialist functions design cross-process controls and involve Organization, Compliance, Risk, Quality, and Technology in material process controls.

The annual control design review is updated for risk-assessment results and business priorities, including strategy, performance, and non-compliance. It is also reviewed for regulatory developments and organizational changes, as well as results from control and monitoring activities. Weak designs receive an action.

Internal Audit considers these reviews when preparing its risk-based audit plan. Audit findings include an accountable owner and due date, and overdue high-priority actions are reported to the Audit and Control Committee.